

BEFORE
THE FEDERAL MARITIME COMMISSION

DOCKET NO. 23-01

SAMSUNG ELECTRONICS AMERICA, INC.
Complainant

VS.

SM LINE CORPORATION
Respondent

ANSWER TO COMPLAINT

Respondents, SM LINES CORPORATION (“SM Line” or “Respondent”) through its undersigned counsel, answers Complainant SAMSUNG ELECTRONICS AMERICA, INC. (“SEA” or “Complainant”) Verified Complaint (“Complaint”), upon information and belief, as follows:

I. COMPLAINANT

1. SM Line admits that SEA has an office at 85 Challenger Road, Ridgefield Park, New Jersey, 07660-2118 but lacks sufficient information to admit or deny the remaining allegations of Paragraph 1 of SEA’s Complaint.

II. RESPONDENT

2. Admits the allegations contained in Paragraph 2 of SEA’s Complaint.

III. JURISDICTION

3. Denies the allegations contained in Paragraph 3 of SEA’s Complaint.

4. Admits that the Complaint states that it is being filed pursuant to 46 U.S.C 41301. The Second sentence of paragraph 4 that “SEA is seeking a cease-and-desist order and reparations” requires no response as it describes the remedies sought by the Complainant. Respondent denies the remaining allegations contained in Paragraph 4 of SEA’s Complaint and defers all questions of law to the Commission for determination.

5. Admits the allegations contained in Paragraph 5 of SEA’s Complaint.

6. Denies the allegations contained in Paragraph 6 of SEA’s Complaint.

IV. PRELIMINARY STATEMENT

7. SM Line lacks sufficient information to admit or deny the date of SEA's incorporation in the United States and whether SEA is a "pioneering" company. SM Line lacks sufficient information to admit or deny the identity of the Samsung entity that offers various electronic products for sale to the American public.

8. SM Line lacks sufficient information to admit or deny the allegation of Paragraph 8 of SEA’s Complaint.

9. SM Line admits that Samsung retail products are available to the public through a variety of retailers.

10. SM Line admits that it has transported Samsung goods, but lacks sufficient information to admit or deny the remaining allegations of Paragraph 10 of SEA’s Complaint.

11. SM Line lacks sufficient information to admit or deny the allegations contained in the first sentence of Paragraph 11 of SEA’s Complaint. With respect to the second sentence, the definitions of terms used in the said sentence such as “store door term” and “place of delivery” are a matter of law and therefore are neither admitted or denied. To the extent a response is required, SM Line

lacks sufficient information to admit or deny the remaining allegations in Paragraph 11 of SEA's Complaint.

12. Admits the allegations contained in Paragraph 12 of SEA's Complaint.

13. Admits the allegations contained in Paragraph 13 of SEA's Complaint.

14. Admits the allegations contained in Paragraph 14 of SEA's Complaint.

15. Denies the allegations contained in Paragraph 15 of SEA's Complaint.

16. Denies the allegations contained in Paragraph 16 of SEA's Complaint.

17. Denies the allegations contained in Paragraph 17 of SEA's Complaint.

18. Denies the allegations contained in Paragraph 18 of SEA's Complaint.

19. Paragraph 19 contains no factual allegations with respect to SM Line and thus requires no response. The Biden Administration's press release and fact sheet speak for themselves. To the extent a response is required, SM Lines lacks sufficient information to admit or deny the remaining allegations in Paragraph 19 of SEA's Complaint.

20. Paragraph 20 contains no factual allegations with respect to SM Line and thus requires no response. President Biden's State of the Union Address speaks for itself.

21. Paragraph 21 contains no factual allegations with respect to SM Line and thus requires no response.

22. Paragraph 22 contains no factual allegations with respect to SM Line and thus requires no response.

23. Denies the allegations contained in Paragraph 23 of SEA's Complaint.

24. Denies the allegations contained in Paragraph 24 of SEA's Complaint.

25. Paragraph 25 contains no factual allegations with respect to SM Line and thus requires no response. To the extent a response is required, the allegations of Paragraph 25 of SEA's Complaint are denied.

26. Denies the allegations contained in paragraph 26 of SEA's Complaint.

V. FACTUAL ALLEGATIONS

27. SM Line lacks sufficient information to admit or deny the allegation of Paragraph 27 of SEA's Complaint.

28. Admits the allegations made in first part of the Paragraph 28 concerning SM Line transporting containers for SEA "under through bills of lading or sea waybills from the overseas locations through U.S. ports." However, SM Lines lacks sufficient information to admit or deny the remaining allegations in Paragraph 28 of SEA's Complaint.

29. Admits the allegations made in first part of the Paragraph 29 concerning SM Line being responsible "as the common carrier for the ocean carriage responsibility to U.S. ports." However, SM Lines lacks sufficient information to admit or deny the remaining allegations in Paragraph 29 of SEA's Complaint.

30. The definitions of "carrier haulage" in Paragraph 30 of SEA's Complaint are a matter of law and therefore are neither admitted or denied. To the extent a response is required SM Line lacks sufficient information to admit or deny the remaining allegations in Paragraph 30 of SEA's Complaint.

31. The definitions of "merchant haulage" in Paragraph 31 of SEA's Complaint are a matter of law and therefore are neither admitted or denied.

32. Paragraph 32 of SEA's Complaint states a legal conclusion requiring no response. To the extent a response is required SM Line denies the allegation contained in Paragraph 32 of SEA's Complaint.
33. Paragraph 33 of SEA's Complaint states a legal conclusion requiring no response. To the extent a response is required SM Line denies the allegation contained in Paragraph 33 of SEA's Complaint.
34. Paragraph 34 of SEA's Complaint states a legal conclusion requiring no response. To the extent a response is required SM Line denies the allegation contained in paragraph 34 of SEA's Complaint.
35. SM Line lacks sufficient information to admit or deny SEA's allegations in Paragraph 35 of SEA's Complaint.
36. SM Line lacks sufficient information to admit or deny SEA's allegations in Paragraph 36 of SEA's Complaint.
37. Denies the allegations contained in Paragraph 37 of SEA's Complaint.
38. Denies the allegations contained in Paragraph 38 of SEA's Complaint.
39. Denies the allegations contained in Paragraph 39 of SEA's Complaint.
40. SM Line lacks sufficient information to admit or deny the allegation of Paragraph 40 of SEA's Complaint.
41. SM Line lacks sufficient information to admit or deny the allegation of Paragraph 41 of SEA's Complaint.
42. Denies the allegations contained in Paragraph 42(a), (b) and (c) of SEA's Complaint.
43. Denies the allegations contained in Paragraph 43 of SEA's Complaint.
44. Denies the allegations contained in Paragraph 44 of SEA's Complaint.

45. Denies the allegations contained in Paragraph 45 of SEA's Complaint.

VI. VIOLATION OF THE SHIPPING ACT

**COUNT I
VIOLATION OF 46 U.S.C. § 41102(c)**

46. SM Line repeats and realleges each and every admission, denial and lack of knowledge or information contained in Paragraphs 1 through 45 of this this Answer, with the same force and effect as if herein set forth at length.

47. The allegations contain in Paragraph 47 of SEA's Complaint do not require a response; the statute speaks for itself.

48. Admits the allegations contained in Paragraph 48 of SEA's Complaint.

49. Denies the allegations contained in Paragraph 49 of SEA's Complaint.

50. Denies the allegations contained in Paragraph 50 of SEA's Complaint.

51. Denies the allegations contained in Paragraph 51 of SEA's Complaint.

52. Denies the allegations contained in Paragraph 52 of SEA's Complaint.

53. Paragraph 53 of SEA's Complaint states a legal conclusion requiring no response. To the extent a response is required SM Line denies each and every allegation contained between Paragraph 53 (a) and Paragraph 53(k) of SEA's Complaint.

**COUNT II
VIOLATION OF 46 U.S.C. 41104(a)(15) – OSRA – Invoices Without Information**

54. SM Line repeats and realleges each and every admission, denial and lack of knowledge or information contained in Paragraphs 1 through 53 of this this Answer, with the same force and effect as if herein set forth at length.

55. The allegations contain in Paragraph 55 of SEA's Complaint do not require a response; the statute speaks for itself.
56. Denies the allegations contained in Paragraph 56 of SEA's Complaint.
57. Paragraph 57 of SEA's Complaint states a legal conclusion requiring no response.
58. Paragraph 58 of SEA's Complaint states a legal conclusion requiring no response.

COUNT III
VIOLATIONS of 46 U.S.C. 41104(a)(14) – OSRA – Unreasonable Charges

59. SM Line repeats and realleges each and every admission, denial and lack of knowledge or information contained in Paragraphs 1 through 58 of this this Answer, with the same force and effect as if herein set forth at length.
60. The allegations contain in Paragraph 60 of SEA's Complaint do not require a response; the statute speaks for itself.
61. Paragraph 61 of SEA's Complaint states a legal conclusion requiring no response. To the extent a response is required SM Line denies the allegation contained in Paragraph 61 of SEA's Complaint.

CAUSATION AND INJURY TO COMPLAINANT

62. Denies the allegations contained in paragraph 62 of SEA's Complaint.

ALTERNATIVE DISPUTE RESOLUTION

63. SM Line admits that SEA did not seek the use of the FMC's alternative dispute resolution process prior to filing the Complaint, but denies the other allegations contained in paragraph 63 of SEA's Complaint.
64. SM Line lacks knowledge sufficient to admit or deny why Complainant has not had an initial consultation with the FMC's Dispute Resolution Specialist. SM Line denies that it is not willing to undergo the alternative dispute resolution route.

**AS AND FOR AFFIRMATIVE DEFENSES
TO THE CLAIMS SET FORTH IN THE COMPLAINT, RESPONDENT SM LINE
ALLEGES UPON INFORMATION AND BELIEF AS FOLLOWS**

1. The Federal Maritime Commission lacks subject matter jurisdiction over the Complaint.
2. SEA lacks standing to seek reparation.
3. The Complaint fails to state a claim against Respondents on which relief may be granted.
4. The conduct which is subject to the Complaint does not constitute a practice within the meaning of 46 U.S.C. § 41102(c).
5. The allegations in the Complaint lack a meritorious factual basis.
6. Some or all of the charges which are the subject of the Complaint were imposed by and paid to persons other than SM Line.
7. Some or all the charges which are the subject of the Complaint were incurred due to the acts and or omissions of SEA and/or its agents.
8. In the alternative, and without waiver of any other defenses or affirmative defenses, Complainant has failed to mitigate its damages.
9. SEA has failed to join other critical and necessary parties to this proceeding, including but not limited to Samsung Electronics Co., Ltd., Samsung Electronics Logitech Co., Ltd., and Samsung SDS Co., Ltd. SDS, their respective agents and subsidiaries, as well as other marine terminals, rail terminals, and the truckers.

RESERVATION OF RIGHTS TO AMEND AND TO RAISE A COUNTERCLAIM

Respondent reserves its right to amend this Answer and to plead any additional affirmative defenses.

Respondent reserves all rights to bring a counterclaim against SEA (or any of its related persons or companies) for any of the outstanding charges owed by Complainant to Respondent before the Federal Maritime Commission or any Court of competent jurisdiction.

WHEREFORE, Respondent prays that after due oral hearing to be conducted in Washington, D.C., or by video conference, an order be made dismissing the Complaint.

Respectfully submitted,

/s/Wook Chung

/s/Vincent M. DeOrchis

/s/Kaspar Kielland

/s/Matteo Bonuzzi

Wook Chung

Kaspar Kielland

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Dated: May 12, 2023

CERTIFICATE OF SERVICE

I HEREBY CERTIFY that on this 12th day of May 2023, the foregoing Answer to Complaint was served via electronic mail on:

Federal Maritime Commission
Office of the Secretary
secretary@fmc.gov

Federal Maritime Commission
Presiding Administrative Law Judge
judges@fmc.gov

Complainant
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/s/Matteo Bonuzzi _____